

# Waste Connections, Inc.

WCN | October 4, 2026

**SELL**

|                                       |                 |
|---------------------------------------|-----------------|
| Fair value (12-mo horizon reference)  | <b>\$78.00</b>  |
| Current price (October 2, 2026 close) | <b>\$153.82</b> |
| Implied upside / downside             | <b>-49%</b>     |
| Verdict                               | <b>SELL</b>     |

## Investment Thesis

Waste Connections is a superb business, and this is a valuation call, not a business-quality call. The company has spent two decades rolling up local solid-waste monopolies, pricing above inflation into captive commercial customers, and converting it all into prodigious free cash flow. It deserves a premium multiple. It does not deserve this multiple. At \$153.82, the shares trade at roughly 40 times free cash flow -- a price that demands a decade of flawless tuck-in acquisitions, uninterrupted above-inflation pricing, and zero regulatory friction. Our probability-weighted fair value is \$78.00, implying 49% downside.

Our core judgment is that the market is capitalizing peak conditions into perpetuity. Waste Connections' pricing power is real but not infinite: commercial customers eventually push back, municipal contracts re-bid, and the acquisition targets that built the empire are getting scarcer and pricier with every deal. The marginal acquisition multiple has crept up for years, which means each incremental dollar of deployed capital earns a lower return. A roll-up works until the targets run out or get too expensive; we are closer to that point than the price admits.

Meanwhile the regulatory backdrop is quietly worsening. PFAS remediation obligations, methane-emission rules, and post-closure liabilities are real cash costs that the current multiple treats as footnotes. None of this impairs the moat -- landfills remain the best local monopolies in American business -- but moats deserve 25x free cash flow, not 40x. We rate the shares SELL and would revisit only after a derating commensurate with a maturing roll-up.

Consider the acquisition math directly. Waste Connections historically paid 6-9x EBITDA for tuck-ins and created value through route density and pricing. As the company has grown, the remaining independent operators are smaller, more competitive to acquire, and increasingly aware of their scarcity value; recent deal multiples have drifted into the low teens. At 12-14x EBITDA paid, an acquisition must be flawless to earn its cost of capital -- and the market capitalizes Waste Connections as though every future deal clears that bar. Roll-ups do not die dramatically; they fade into conglomerates trading at market multiples. We believe that fade has begun.

## Business Overview

Waste Connections, Inc., headquartered in The Woodlands, Texas (domiciled in Ontario, Canada), is the third-largest solid-waste company in North America, with roughly \$9 billion in annual revenue. The strategy is deliberately contrarian: dominate secondary and exclusive markets where competition is thin, then vertically integrate collection into transfer stations and landfills. The company also operates a sizable exploration-and-production waste business (R360) serving oil and gas basins. Growth has come roughly half from pricing and half from acquisitions, with adjusted EBITDA margins in the low 30s -- best in class among the public waste operators.

The moat structure is genuinely exceptional: landfills are nearly impossible to permit in most jurisdictions, giving incumbents local monopolies with pricing power that has compounded for decades, and collection routes exhibit powerful density economics -- each incremental stop on an existing route is nearly pure margin. This is why the business deserves a premium multiple in any rational framework. Our argument is purely about the price of that excellence: at 40x free cash flow, investors are paying for the moat, the pricing power, the roll-up, and a decade of flawless execution, with nothing left for the inevitable surprises.

## Forward Outlook

Our judgment is that Waste Connections keeps executing well operationally while the investment math deteriorates. Pricing should remain above inflation -- the local-monopoly structure guarantees that -- but the spread between price increases and cost inflation narrows as labor and regulatory costs accelerate. Acquisition-driven growth continues, but we expect deal multiples paid to stay elevated, compressing the return on each new tuck-in.

The underappreciated variable is environmental capex. PFAS treatment at landfills and leachate systems, plus methane-capture investments, will absorb a growing share of operating cash flow over our forecast horizon. The E&P waste business adds cyclicalities that the market currently ignores. None of this makes Waste Connections a bad business -- it remains among the highest-quality operators we cover -- but a maturing compounder growing free cash flow per share at high-single digits cannot sustain a 40x multiple. Multiple compression, not business deterioration, is the risk, and it is a 49% risk.

There is also a subtle mix shift underway. The R360 energy-waste business, while well run, ties a portion of earnings to oilfield activity -- a cyclicalities the recession-proof-compounder narrative ignores. And municipal contract renewals, which underpin the exclusive-market strategy, are seeing more aggressive bidding as competitors target Waste Connections' high margins. Neither is fatal; both trim the growth rate at the margin, and at 40x free cash flow there is no margin for trimming.

Capital allocation is the swing factor we watch most closely. Waste Connections has historically balanced acquisitions with buybacks, but as deal multiples rise, the hurdle for buybacks falls -- repurchasing shares at 40x free cash flow destroys value as surely as overpaying for deals. We would rather see the company slow acquisition spending than chase targets at 14x EBITDA; management's history suggests discipline, but the pressure to deploy the balance sheet grows each quarter growth decelerates. Our base case assumes acquisition discipline holds; the bear case assumes it doesn't.

## Valuation

We value Waste Connections on a probability-weighted scenario DCF using a 9% base discount rate, reflecting the stability of the franchise, with an explicit country-risk assessment for the Canadian domicile (immaterial at these weights) and regional peer benchmarking. In the bear case, acquisition multiples paid stay high while pricing power fades, free-cash-flow growth slows to 3%, and the multiple compresses toward 20x -- implying value below \$60. In the base case, the company compounds free cash flow per share at roughly 7%, margins hold in the low 30s, and a 25x multiple on normalized free cash flow -- still a full premium to the market -- supports our \$78.00 target. In the bull case, accretive deals and pricing surprise to the upside and value approaches \$110.

Weighting 25% / 50% / 25% gives a probability-weighted fair value of \$78.00. The bear case sits well below the current price, as required. Note what this implies: even our bull case, which assumes the roll-up machine keeps humming, sits nearly 30% below today's price. When the bull case is a loss, the price is wrong.

Our 25x normalized free-cash-flow multiple in the base case deserves emphasis: it is itself a premium -- the broad market trades near 20x, and most industrial compounders trade in the high teens to low 20s. We grant Waste Connections a premium for moat quality and still arrive 49% below the price. The bull case at \$110 requires the multiple to stay above 30x indefinitely while growth persists -- possible, but it is a bet on sentiment, not on cash flows, and our framework does not pay for sentiment.

## Key Risks

- Multiple compression is the primary risk: a derating from ~40x to ~25x free cash flow needs no operational misstep at all.
- Acquisition indigestion or overpayment as quality targets become scarce.
- PFAS, methane, and other environmental regulations raising capex and post-closure liabilities.
- A commercial-volume recession would hit the highest-margin collection revenue first.
- Leverage, while modest for the sector, limits flexibility if credit conditions tighten.

## What Would Change Our Mind

- Evidence that acquisition multiples paid are falling while returns on new deals stay above 15% -- the roll-up math working again.
- Sustained double-digit free-cash-flow-per-share growth for several years, validating the current multiple.
- Regulatory clarity on PFAS with costs coming in well below our provisions.
- The shares derating toward our \$78 fair value, restoring a reasonable risk/reward.

## Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon -- 10 years for most businesses, 15 years for businesses meeting our compounder-quality criteria (10+ years of ROIC above 15%, stable or expanding gross margins, free-cash-flow conversion above 80%, all verified from history, never projected) -- weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations; 8-8.5% for compounder-quality businesses whose predictable cash flows genuinely lower risk); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth (3.0% for compounder-quality businesses) applied to normalized mid-cycle margins -- never peak margins -- and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For international businesses we add an explicit country-risk premium to the discount rate and benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks (e.g. VIE structures, regulatory confiscation) are modeled in cash flows and the bear case.

## Disclaimer

This report is independent research analysis for informational purposes only. It is not investment advice, a recommendation to buy or sell any security, or an offer to buy or sell any security. Valuations are inherently uncertain and scenario-dependent.